



Participating Whole Life Insurance

Corporate-owned life insurance



Insurance

Protecting your business, your partners and your loved ones with corporate-owned life insurance. How exactly does that work?

As a business owner, you may not have thought about the role of corporate-owned life insurance in your business plans. After all, life insurance is for your personal life, isn't it?

But consider this: with a corporate-owned participating whole life insurance policy, the corporation is made the beneficiary — which can bring financial and tax advantages that benefit your family, your partners, and the future of your business.

Some important reasons to consider corporate-owned whole life insurance.



Tax-deferred growth

Because participating whole life insurance is an insurance product, the growth is tax-exempt. So any surplus in your business can go into the policy and become a business expense, which won't be subject to taxation.



Tax-free death benefits

Death benefits are paid out to the company tax-free with most, if not all, crediting your business' capital dividend account. From there, the funds can be distributed as a tax-free capital dividend.

The capital dividend account is a notional account that tracks certain non-taxable items for income tax purposes. To this extent, if there is a positive balance in the capital dividend account, the corporation can pay tax-free capital dividends to its Canadian resident shareholders.



Cash Flow Generation

The cash values can be used to generate additional cash flow at any time, as needed.



Estate Preservation

With a participating whole life insurance policy, you have the peace of mind of meeting the future financial needs of your business as well as your loved ones.

What's more, you're free to designate death benefits to surviving shareholders and your family in any way you see fit.



Key Employee Insurance

This coverage can further protect your business from losses due to the death of a specific employee — somebody with essential skills and expertise, technical knowledge and/or strong supplier and customer relationships.

Let's talk about the protection a corporate-owned whole life insurance can bring to your business. If you'd like to learn more or have a conversation, feel free to contact me.

